

Done!

ECONOMICS

Paper 3 Multiple Choice

9708/32

October/November 2016

1 hour 15 minutes

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

1 hr 15 mins
30 marks.

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Solved with reasons!

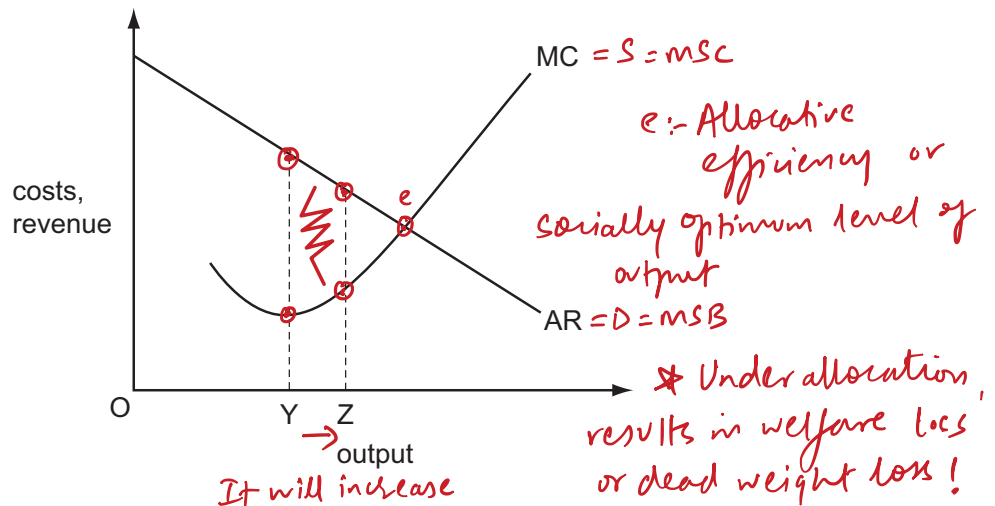
[Handwritten signature]

*Zarale
mustaq*

This document consists of **11** printed pages and **1** blank page.

→ Productive and allocative

- 1 What is the purpose of trying to achieve economic efficiency? ⇒ Resource allocation improved
- A to achieve full employment (macroeconomic objective)
 - B to achieve the cheapest possible price for products
 - ✓ C to ensure resources are not wasted (no wastage)
 - D to use as many resources as possible
- 2 In the diagram, a firm increases its output from OY to OZ.



Which statement about the effect on economic efficiency is correct?

- A It will increase because a greater quantity will be produced and higher total revenue will be earned. No!
- ✓ B It will increase because the value that consumers place on the product comes closer to the cost of producing the last unit. (MSB = MSC)
- C It will decline because both average and marginal revenue will fall.
- D It will decline because both total and marginal cost will rise.

- 3 A proposal for a new power station was rejected by the government because it was not socially beneficial. [SC > SB]

The government calculated that the private costs would be \$800m, private benefits \$900m and external benefits \$300m.

What must have been true about the external costs of the power station?

- A External costs were equal to external benefits. (No)
- ✓ B External costs were greater than \$400m.
- C External costs were less than external benefits.
- D There were no external costs. (No)

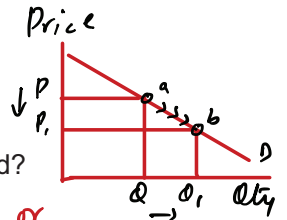
$$SC = PC + EC$$

$$1200 \leq 800 + x$$

$$SB = PB + EB$$

$$1200 \leq 900 + 300$$

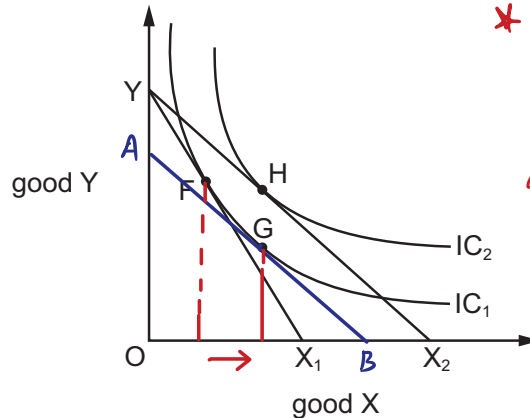
So, x needs to be greater than '400' to make it socially undesirable



4 What will happen if, in response to a fall in its price, a consumer buys more of a good?

- A a fall in the total utility derived from consuming the good (TU ↑ at increasing or decreasing rate)
- ✓ B a movement along the consumer's demand curve (Diagram)
- C a rise in the marginal utility derived from consuming the good (Diminishing MU)
- D a shift in the consumer's demand curve (other factor causes shift, price causes movement)

5 The diagram shows two indifference curves and two budget lines for goods X and Y.



- * First 'F' to 'G', substitution effect
- * Real income increases, new equilibrium at 'H'
- * Types of goods:-
 - Normal (same direction)
 - Inferior (opposite direction)
 - Giffen (I.E outweighs S.E)

* Diagram Drawn in June 2017 paper regarding income and substitution effect!

The consumer's initial position is at point F. The consumer's preferred final position becomes point H.

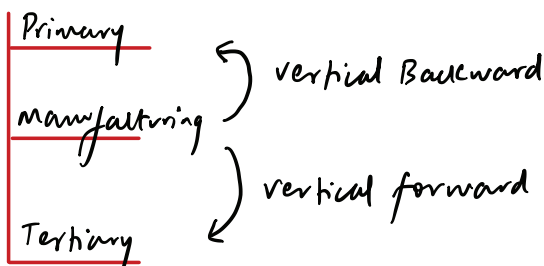
Along the indifference curve, concept of substitution effect!

What does the movement from F to G represent?

- A the income effect of a price fall for X (Income effect from 'G' to 'H')
- B the price effect of a price change for X (Price consumption curve)
- ✓ C the substitution effect of a price fall for X
- D the substitution effect of a price rise for X (It would have been 'G' to 'F' if there was rise in price)

6 What is one of the long-term benefits to a firm of vertical integration?

- A a concentration on activities in which the firm has a comparative advantage (concept of international Trade)
- ✓ B a reduction in the total costs involved in agreeing contracts with other firms (All departments under same business)
- C an increase in the firm's market share (under horizontal integration)
- D improvements in efficiency resulting from increased use of market incentives (No think about efficiency nor market incentives)

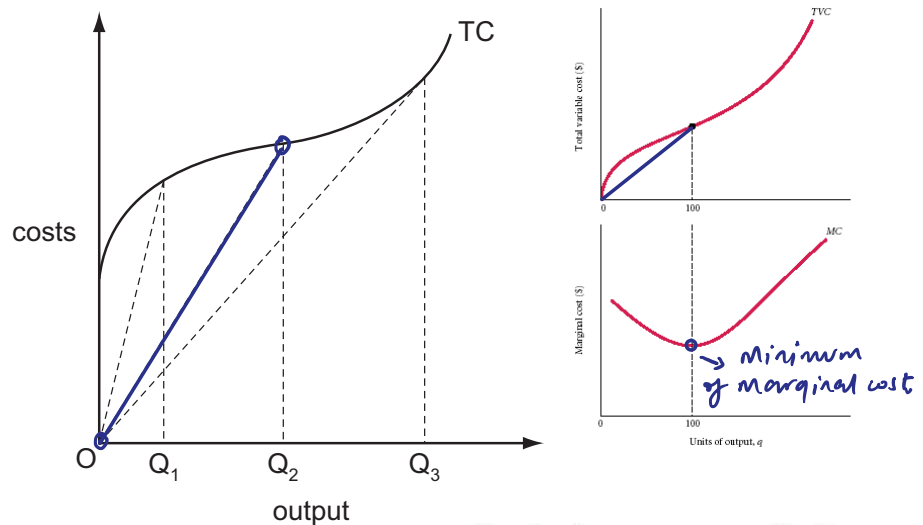


- 7 The organisers of a major sporting event produce official souvenir products. Cheaper unofficial souvenirs are also produced by street traders who sell them to people walking to the event.

Of what is this an example? *A monopoly being a monopoly can't act as a monopoly due to threat of competition as barriers to entry are zero.*

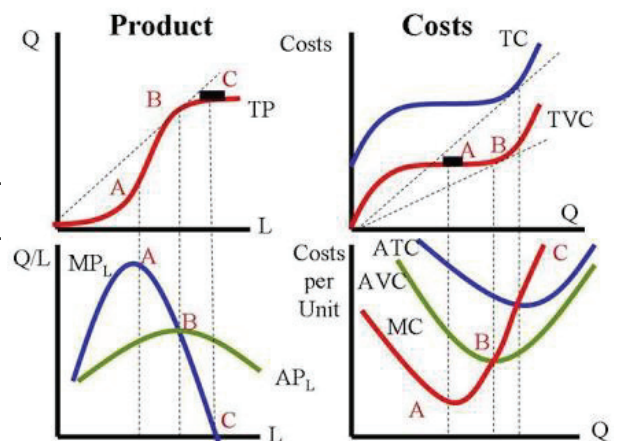
- ☒ A a contestable market *(1000s of producers)*
☐ B perfect competition *(charging different prices to different customers for the same product, reasons not associated with cost, it depends upon PED)*
☐ C price discrimination
☐ D price leadership
↳ concept of oligopoly, high price Small firms, small scale, short run
- 8 Which assumption is made in calculating a firm's short-run production function? *only Labour variable, capital fixed!*
- ☒ A All factors of production are fixed. *(No)*
☐ B All factors of production are variable. *(Large firm)*
☒ C The state of technology is fixed. *capital*
☐ D The state of technology is variable. *(Large firm)*

- 9 In the diagram, TC is a firm's short-run total cost curve.



Which statement is correct?

- ☐ A Average total cost is minimised at output OQ_2 .
☐ B Average variable cost is minimised at output OQ_1 .
☐ C Average variable cost is minimised at output OQ_3 .
☒ D Marginal cost is minimised at output OQ_2 .



10 The table shows the total cost of a firm.

$$AVC = \frac{40}{4} = \$10$$

* Average variable cost = $\frac{VC}{Q}$

* At 'zero' level of output $TC = FC$

$$TC = FC + VC$$

$$TC = FC + 0$$

$$TC = FC$$

* $TC - FC = 'VC'$

output	total cost \$
0	40
1	55
2	60
3	65
4	80

→ 'FC'

40 ⇒ 40 [Variable cost]

What is the average variable cost of producing 4 units of output?

- ☒ A \$10 B \$15 C \$20 D \$40

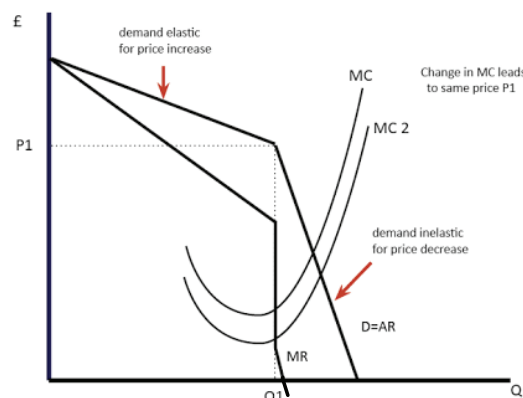
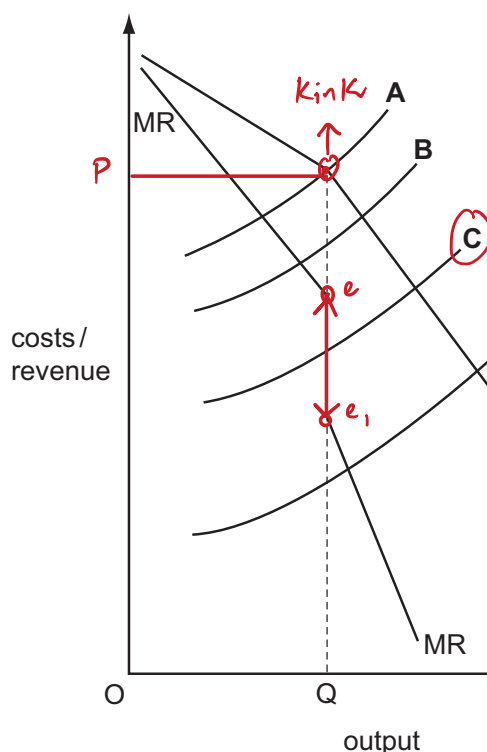
11 Which condition must apply before a market can be regarded as perfectly contestable?

- A All firms in the industry are price-takers. (perfect competition)
 B All firms in the industry produce an identical product. (perfect competition)
 C There are a large number of firms in the industry. (monopolistic)
☒ D There are zero costs of entry to, and exit from, the industry.

* Perfectly contestable or contestable :- A monopoly being a monopoly can't act as a monopoly due to threat of competition as the cost of entry and exit are zero.

- 12 The diagram shows the average and marginal revenue curves of an oligopolistic firm. OQ is the profit-maximising output.

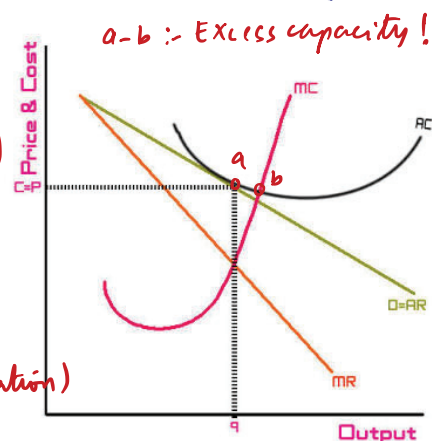
Which curve could be the firm's marginal cost curve?



* $e - e_1$:- Range of marginal revenue.
* Marginal cost can intersect in this range, which determines level of output and price at kink point

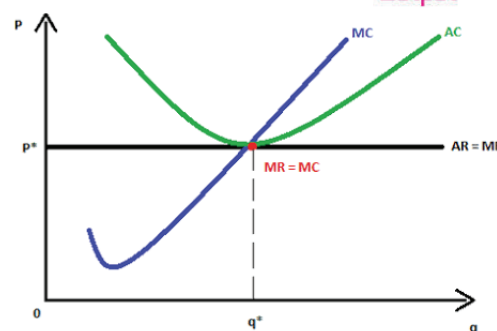
- 13 What is most likely to be found when comparing the long-run equilibrium outcome in monopolistic competition with that in perfect competition?

- Normal profits*
- [Not producing at minimum of average cost]*
- ✓ A a greater degree of excess capacity in monopolistic competition
 - B a higher level of profit in monopolistic competition (Normal profits in longrun)
 - C a larger number of firms in monopolistic competition (Feature)
 - D a more price-elastic demand curve in monopolistic competition (Feature)



- 14 Which is not a source of market failure?

- A imperfect information (market failure) (merit, demerit, price discrimination)
- ✓ B income inequality (Macroeconomic issue)
- C monopoly (market failure) (Abnormal profits)
- D non-excludability (Feature of public good) (market failure)



* $SL = PC + EC$
 * $SB = PB + EB$

7

- 15 The government wants to regulate the consumption of a demerit good in order to increase society's net welfare. *(Reduce welfare loss)*

In which situation will society's net welfare increase?

- A The fall in the marginal social benefit is greater than the fall in the marginal social cost. *(No)*
 B The fall in the marginal social cost is greater than the fall in the marginal social benefit. *(No)*
 C The fall in the total social benefit is greater than the fall in the total social cost. *(No)*
 ✓ D The fall in the total social cost is greater than the fall in the total social benefit.

External cost fall by greater marginal, thus benefits society!

- 16 Which measure is least likely to help a household out of the poverty trap? → *concept of absolute and relative poverty!*

- ✓ A changing a universal benefit to a means-tested benefit
 B increasing the threshold at which income tax is paid *(From Rich to poor)*
 C introducing a national minimum wage *(wages ↑, standard of living ↑)*
 D reducing the basic rate of income tax *(income level ↑)*

Marginal revenue

marginal product

- 17 'The addition to revenue which results from employing one additional unit of a factor of production, the quantities of all other factors of production remaining constant'.

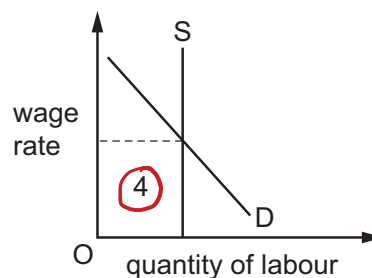
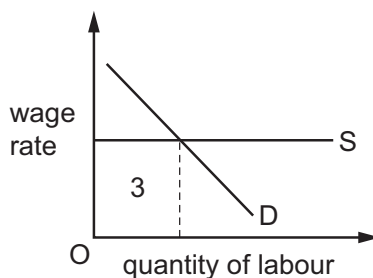
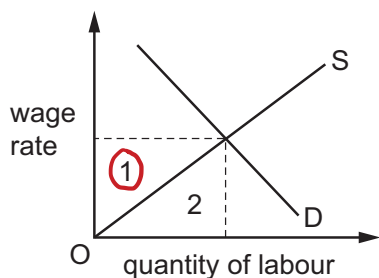
What does this define?

* Benefits that are available only to individuals whose income is below a certain level. For example, in the U.S. food stamps are a means-tested benefit. They are available only to low-income families.

- A marginal factor cost *(Additional cost)*
 B marginal revenue *(Additional revenue)*
 ✓ C marginal revenue product $(MRP) = MPP \times MR$
 D the law of diminishing returns *(small firm, small scale, Shortrun, Labour → variable)*

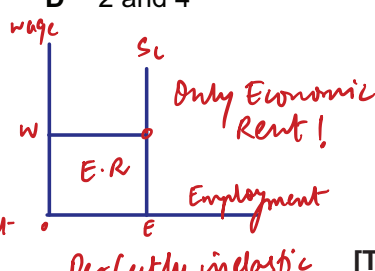
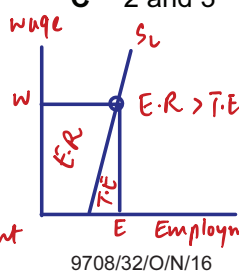
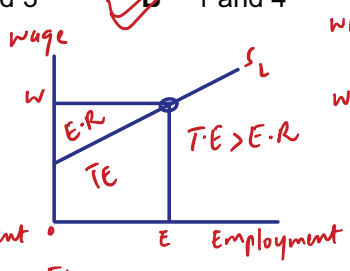
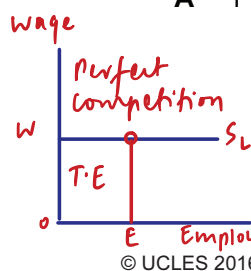
* Universal Credit is a social security benefit in the United Kingdom introduced in 2013 to replace six means-tested benefits and tax credits: income based Jobseeker's Allowance, Housing Benefit, Working Tax Credit, Child Tax Credit, income based Employment and Support Allowance and Income Support.

- 18 The diagrams show the demand for and supply of labour.



Which two areas represent economic rent? *(Above Transfer earning) (Depends of elasticity of supply of labour)*

- A 1 and 3
 ✓ B 1 and 4
 C 2 and 3
 D 2 and 4



Perfectly elastic supply of labour!

Elastic supply of labour

Inelastic supply of labour

Perfectly inelastic supply of labour!

[Turn over]

- 19 The table shows the short-run production function of a firm with labour as the variable factor of production.

<u>Total cost</u>	number of workers employed	total output per day	<u>Per unit</u> $\left[\frac{\text{Total cost}}{\text{Total output}} \right]$
$(\$50 \times 1) \quad \50	1	10	5
$(\$50 \times 2) \quad \100	2	20	5
$(\$50 \times 3) \quad \150	3	40	3.75 [Lowest]
$(\$50 \times 4) \quad \200	4	50	4
$(\$50 \times 5) \quad \250	5	60	4.16

If workers are hired in a perfectly competitive labour market at a wage rate of \$50 per day, when will the labour cost per unit of output be at its lowest?

- A 2 workers
☒ B 3 workers
 C 4 workers
 D 5 workers

[average ↑]
 ↑↑

- 20 Over a given period the amount of overtime worked in manufacturing industry increases.

What is likely to be a consequence of this?

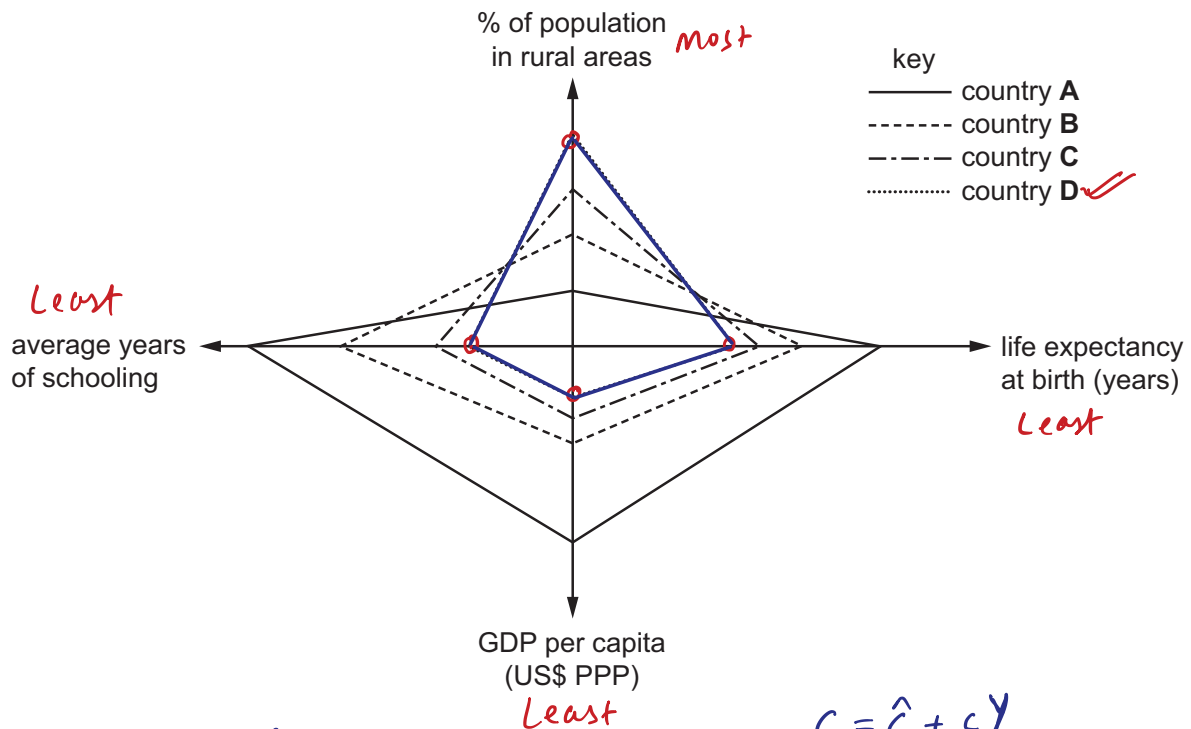
- A a decrease in employment
 B a decrease in the rate of inflation
☒ C a more rapid growth in average earnings than in hourly wage rates
 D a more rapid growth in manufacturing output than in productivity

- 21 What is a common characteristic of developing economies?

- A a relatively ^{large} small agricultural sector
☒ B extensive underemployment (*inefficient allocation of resources*)
 C high saving rates (*low*)
 D stable export earnings (*unstable*)

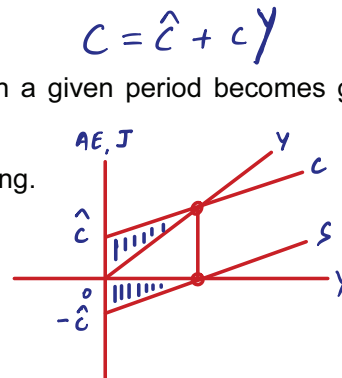
22 The diagram shows data on various aspects of four countries.

Which country is likely to be least developed?



23 If the marginal propensity to consume in an economy in a given period becomes greater than unity, this must mean that $[MPC > 1]$

- A consumers will be spending more than they are earning.
- B inflation will be generated in the economy.
- C the country will suffer a trade deficit.
- D the marginal propensity to save will be negative.



24 Which row correctly identifies net leakages from the circular flow of income?

	trade surplus (exports - imports)	government budget deficit (government spending - taxes)	private sector surplus (saving - investment)
A	✓	✓	x
B	✓	x ✓	x
C	x ✓	✓	✓ ✓
<u>D</u>	x ✓	x ✓	✓ ✓

Leakages :- $S + t + m$

S :- saving

t :- tax

m :- Import

* Trade surplus :- $X(TE) > m(TE) \Rightarrow$ This represents injections!

* Budget deficit :- Government spending greater than Tax revenue, this represents injections!

* Private sector surplus :- Saving > Investment $\Rightarrow$ Leakage!

25 The table shows the levels of consumption expenditure and savings for given family incomes.

* Marginal propensity to consume:- Additional income that goes into consumption.

* Marginal propensity to save:- Additional income that goes into saving.

disposable family income (\$)	consumption expenditure (\$)	savings (\$)
2000	2150	-150
3000	3100	-100
4000	4000	0
5000	4850	150
6000	5650	350
7000	6380	620

$MPS \uparrow$ or $MPC \downarrow$

Over the range of disposable income shown, as income rises the marginal propensity to consume

A falls and then rises.

☒ B falls continuously.

C rises and then falls.

D rises continuously.

$LP(md) = T + P + S \rightarrow$ Transactionary
Precautionary
Speculative

26 What would cause an increase in the transactions demand for money?

A a fall in the price of bonds

Price of Bonds $\downarrow$, interest rate $\uparrow$, movement along the money demand (LP)

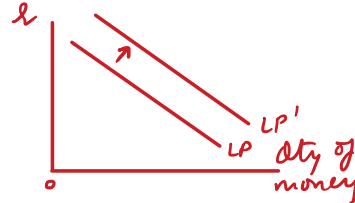
☒ B an increase in nominal national income

C an increase in the rate of interest

(movement along the money demand (LP))

D an increase in unemployment

$\hookrightarrow$ income $\downarrow \Rightarrow$ Demand $\downarrow$



27 Government economic advisers disagree over the relative impact of fiscal and monetary controls.

What is most likely to be the first stage at which a time lag will occur?

A in the introduction of the chosen policy

Decision taking delayed or time taken!

B in the operational effectiveness of the policy

C in the recognition of the existence of the problem

☒ D in the selection of the appropriate policy (which policy to select)

28 What has not accompanied global economic growth over the last twenty five years?

- A a depletion of non-renewable resources *It has*
- ☒ B decreased international trade *vs Protectionism!*
- C growing urbanisation *It has*
- D increased atmospheric pollution *It has*

29 Which policy pursued by a central bank represents a contractionary monetary policy?

- A a reduction in the interest rate at which it will lend to banks *Expansionary*
- B a reduction in the minimum cash to deposit ratios of banks *less cash, more investment*
- C the purchase of foreign currency to influence the country's exchange rate
- ☒ D the sale of government bonds in the open market *Money supply ↓*

30 Which policy's principal aim is to ensure sound public finances?

- A environmental policy *(Regulation)*
- ☒ B fiscal policy
- C monetary policy *(R , M^s , Exchange rate)*
- D supply-side policy *(Aggregate supply ↑)*

Supply of currency ↑
 ↓
Exchange rate ↓
 ↓
Depreciation
 ↓
Expansionary policy

Government Expenditure ↓
 ↓
fiscal policy!